

FINANCIAL LITERACY AND INVESTMENT BEHAVIOR OF YOUTH IN KATHMANDU VALLEY

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By

Anju Adhikari

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Exam Roll No. : 60559/24

Saraswati Multiple Campus

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TABLE OF CONTENTS

1. Background of the study	1
2. Problem statement	3
3. Objectives of the study	6
4. Hypothesis	6
5. Rationale of the study	7
6. Brief review of the literature	9
6.1 Conceptual review	9
6.2 Theoretical review	11
6.3 Empirical review	13
6.4 Research gap	16
7. Research methodology	17
7.1 Research design	17
7.2 Population and sampling procedure	17
7.3 Nature and sources of data collection	19
7.4 Research framework and definition of variables	19
7.5 Method of analysis	22
References	24

1. Background of the study

Nepal's financial sector has grown at a steady pace over the past decade. The banking system, capital market, insurance industry, mutual fund houses, and digital payment platforms have all expanded their reach to ordinary citizens (Nepal Rastra Bank, 2024). The Securities Board of Nepal (SEBON, 2024) reports that the number of demat account holders has crossed several million, and that a large share of new investors are young adults living in urban areas. The Kathmandu Valley, which hosts the Nepal Stock Exchange (NEPSE), most brokerage firms, mutual fund houses, fintech companies, and the head offices of leading banks, has become the main center of this rising financial activity. The question of how young Nepalese understand and use money has therefore become more important than ever.

Financial literacy is widely understood as the combination of knowledge, attitude, behavior, and skill that allows a person to make informed decisions about the use of money (Atkinson & Messy, 2012; Lusardi & Mitchell, 2014; Remund, 2010). It is not only about knowing financial terms; it also includes the ability to plan, save, invest, manage debt, judge risk, and use modern digital financial tools. The OECD/INFE (2020) measurement framework treats financial literacy as a mix of financial knowledge, financial attitude, and financial behavior, and many countries now use this framework to track the financial capability of their citizens. Earlier work by Huston (2010) and Hung et al. (2009) showed that this multi-dimensional view captures real-world financial competence better than knowledge tests alone.

Investment behavior, in turn, refers to the actual decisions a person makes when placing money in different financial products such as bank deposits, government bonds, stocks, mutual funds, insurance, real estate, gold, and digital assets (Adil et al., 2022; Van Rooij et al., 2011). A growing body of empirical work will be reviewed in this study, and that work consistently shows that financial literacy shapes such decisions. Van Rooij et al. (2011) reported that low financial literacy reduces stock market participation in the Netherlands. Agarwalla et al. (2015) found similar patterns among working youth in urban India. Mohta and Shunmugasundaram (2024) showed that millennial investors with stronger financial literacy take more careful risks, while Marjerison et al. (2025) noted clear shifts in risk tolerance and digital adoption across generations.

In Nepal, young people are increasingly drawn to financial markets through online trading apps, mobile banking, social media tips, and influencer-led investment advice.

At the same time, supervisory observations suggest that many enter the market without basic understanding of risk, diversification, or long-term planning (Shrestha, 2020; Thapa & Nepal, 2015). The result is short-term speculative trading, herd-driven decisions, and exposure to heavy losses during market corrections. Studies in Nepal so far have mostly looked at adult investors, rural households, or general stock market participants, leaving a clear gap on how the five core dimensions of financial literacy actually shape the choices of young people in the Kathmandu Valley.

This study will be motivated by the need to fill that gap. By examining financial knowledge, financial attitude, financial behavior, financial awareness, and risk tolerance as five separate dimensions, the research will build a focused picture of which dimensions most strongly influence the investment behavior of youth in the valley. The findings will be useful for financial educators, regulators such as SEBON and Nepal Rastra Bank, brokerage firms, academic institutions, and young investors themselves.

2. Problem statement

Nepal's capital market has expanded quickly in recent years, and a large share of the new investors are young adults from the Kathmandu Valley (SEBON, 2023). These young investors are exposed to a wide range of products through online trading platforms, mobile banking apps, mutual funds, insurance products, cryptocurrencies, and tips circulating on social media. Without sufficient financial literacy, many will make poor investment choices, fall for risky schemes, or stay away from formal markets altogether (Lusardi & Mitchell, 2014; Mohta & Shunmugasundaram, 2024).

The empirical evidence that will be reviewed in this study shows a strong link between financial literacy and investment behavior across countries. Van Rooij et al. (2011) found that low literacy reduces stock market participation in developed economies. Lusardi and Mitchell (2014) reported that women, young people, and the less educated face the widest knowledge gaps. Agarwalla et al. (2015) confirmed that working young Indians have weak financial knowledge but relatively better financial behavior. Mouna and Anis (2017) showed that higher literacy supports better portfolio diversification in emerging markets. Adil et al. (2022) further found that financial literacy weakens the harmful effect of behavioral biases on investment decisions. Mohta and Shunmugasundaram (2024) noted that millennials with higher literacy take more careful

risks, while Marjerison et al. (2025) reported clear generational differences in risk tolerance and digital adoption.

Despite this rich body of work, few studies will be found that focus directly on Nepalese youth. Most of the cited research comes from India, Tunisia, the Netherlands, and the United States, or relies on general adult samples in emerging markets. Nepal's social setting, family structure, education system, and capital market work in their own way, and the few Nepal-based studies have so far concentrated on adult investors, rural households, or general stock market participants (Shrestha, 2020; Thapa & Nepal, 2015). Limited evidence will therefore be available on how financial knowledge, financial attitude, financial behavior, financial awareness, and risk tolerance jointly shape the investment behavior of young people in the Kathmandu Valley.

This study will seek to fill that gap. It will measure the current level of financial literacy and investment behavior among youth in the valley, examine the relationship between the five dimensions and investment behavior, and identify which dimensions will carry the strongest impact. The findings will be expected to support policymakers, financial educators, brokers, regulators such as SEBON, and academic institutions in designing focused programs for young Nepalese investors.

The main research question of this study will be: What is the relationship between financial literacy and investment behavior of youth in the Kathmandu Valley? The specific research questions will be:

1. What is the current level of financial literacy and investment behavior among youth in the Kathmandu Valley?
2. What is the relationship between the five dimensions of financial literacy and investment behavior of youth in the Kathmandu Valley?
3. What is the impact of each dimension of financial literacy on the investment behavior of youth in the Kathmandu Valley?

3. Objectives of the study

The main objective of this study will be to examine the relationship between financial literacy and investment behavior of youth in the Kathmandu Valley. The specific objectives will be:

1. To analyze the current level of financial literacy and investment behavior among youth in the Kathmandu Valley.
2. To measure the relationship between the five dimensions of financial literacy and investment behavior of youth in the Kathmandu Valley.
3. To examine the impact of financial knowledge, financial attitude, financial behavior, financial awareness, and risk tolerance on the investment behavior of youth in the Kathmandu Valley.

4. Hypothesis of the study

This study will develop and test the following hypotheses, grounded in the empirical evidence of Van Rooij et al. (2011), Agarwalla et al. (2015), Adil et al. (2022), and Mohta and Shunmugasundaram (2024):

- H₁: Financial knowledge will have a significant positive relationship with investment behavior of youth in the Kathmandu Valley.
- H₂: Financial attitude will have a significant positive relationship with investment behavior of youth in the Kathmandu Valley.
- H₃: Financial behavior will have a significant positive relationship with investment behavior of youth in the Kathmandu Valley.
- H₄: Financial awareness will have a significant positive relationship with investment behavior of youth in the Kathmandu Valley.
- H₅: Risk tolerance will have a significant positive relationship with investment behavior of youth in the Kathmandu Valley.

5. Rationale of the study

This study will be important for several reasons. The youth segment is now the fastest-growing investor group in Nepal (SEBON, 2023). The Kathmandu Valley alone hosts a large share of young brokerage clients, mutual fund subscribers, and mobile-trading users. The choices these young investors will make in the coming years will shape household wealth, capital market depth, and broader financial stability for a long time. Generating clear evidence on which financial literacy dimensions actually drive sound investment behavior will therefore be a matter of practical urgency, not merely academic interest.

The existing literature on financial literacy and investment behavior is concentrated in developed markets and large emerging economies such as India, China, Tunisia, and Indonesia (Adil et al., 2022; Mouna & Anis, 2017; Van Rooij et al., 2011). Studies done within Nepal have mostly examined general adult investors or rural households (Shrestha, 2020; Thapa & Nepal, 2015), leaving a clear gap on youth in urban centers. Since Nepal's social setting, family structure, education system, and capital market work in their own way, direct application of findings from other contexts will not be appropriate. This study will fill the gap by focusing specifically on youth in the Kathmandu Valley.

The findings will have practical value for several stakeholders. For young investors themselves, the results will show which financial literacy dimensions matter most for sound decision-making. For policymakers and regulators such as SEBON, Nepal Rastra Bank, and the Ministry of Finance, the findings will provide evidence for designing focused financial education programs, investor protection rules, and youth-targeted awareness campaigns. For brokerage firms, mutual fund houses, and fintech companies, the results will inform client onboarding, advisory services, and digital tools. For academic institutions, particularly business schools, the findings will support curriculum updates that will strengthen financial education for the next generation of students.

Finally, the study will contribute to the broader empirical literature on financial literacy in South Asia. By extending the model used in Indian, Tunisian, and global studies (Agarwalla et al., 2015; Marjerison et al., 2025; Mohta & Shunmugasundaram, 2024) to the Nepalese youth context, the research will add a new local data point to the international literature and will open space for future comparative work in similar emerging economies.

6. Brief review of the literature

In this section, key scholarly works related to financial literacy and investment behavior of youth will be examined, summarized, and synthesized. The section will be presented in four parts: conceptual review, theoretical review, empirical review, and research gap.

6.1 Conceptual review

This subsection defines and explains the core concepts that will form the foundation of this study. A clear understanding of these concepts will be essential for interpreting the research framework and the findings that will emerge from data analysis.

Financial literacy

Financial literacy is the combination of knowledge, attitude, behavior, and skill that allows a person to make informed decisions regarding the use of money (Atkinson & Messy, 2012; Lusardi & Mitchell, 2014). It covers basic concepts such as inflation, interest, time value of money, risk diversification, and the working of financial products like savings accounts, loans, insurance, stocks, and mutual funds. Remund (2010) noted that financial literacy combines understanding, ability, confidence, and motivation in handling money, while Huston (2010) treated it as a measurable construct with both knowledge and application aspects. In the context of Nepalese youth, financial literacy will be treated as the ability to understand local financial products, judge investment opportunities offered by NEPSE-listed companies and mutual funds, and apply this understanding in daily financial decisions.

Financial knowledge

Financial knowledge refers to the understanding of basic financial concepts such as interest rate, inflation, compound interest, time value of money, diversification, and the relationship between risk and return (Lusardi & Mitchell, 2014; Van Rooij et al., 2011). It is the cognitive component of financial literacy and is usually measured through objective test questions. Strong financial knowledge gives investors the foundation to evaluate financial products, judge market information, and avoid common mistakes (Hung et al., 2009). For Nepalese youth, where financial products are becoming more complex, financial knowledge will be especially important since many young investors often act on tips from social media without checking the underlying details.

Financial attitude

Financial attitude refers to a person's mindset, preferences, and feelings toward money matters such as saving, spending, borrowing, and investing (Agarwalla et al., 2015; Atkinson & Messy, 2012). A positive financial attitude leans toward future planning, careful spending, and disciplined investing, while a weak attitude leans toward impulsive consumption and short-term thinking. Studies in India and other emerging markets have shown that financial attitude is often a stronger predictor of behavior than knowledge alone (Agarwalla et al., 2015; Bhushan & Medury, 2013). Among Nepalese youth, attitudes toward money will be shaped by family upbringing, peer influence, and rising exposure to consumption-driven media.

Financial behavior

Financial behavior refers to actual practices that a person follows in handling money, including budgeting, regular saving, tracking expenses, paying bills on time, avoiding unnecessary debt, and reviewing financial goals (OECD/INFE, 2020; Xiao, 2008). It is the action-oriented part of financial literacy and is often considered the most important indicator of financial well-being. Studies show that financial behavior has a strong and direct effect on investment outcomes (Adil et al., 2022; Agarwalla et al., 2015). For youth in the Kathmandu Valley, financial behavior will be reflected in habits such as keeping a record of monthly spending, contributing to savings on a regular basis, and reviewing investments from time to time.

Financial awareness

Financial awareness refers to a person's familiarity with the range of available financial products, services, market institutions, regulatory bodies, and digital platforms (Bhushan & Medury, 2013; Mouna & Anis, 2017). While financial knowledge is about concepts, financial awareness is about products and resources. A young investor with high financial awareness will know about mutual funds, systematic investment plans, online trading apps, demat accounts, and the role of SEBON and NEPSE. Marjerison et al. (2025) showed that awareness of digital financial tools is a key driver of investment behavior among younger generations.

Risk tolerance

Risk tolerance is the level of variability in investment returns that an individual is willing to accept while making financial decisions (Grable & Lytton, 1999; Mohta & Shunmugasundaram, 2024). It is shaped by personality, financial position, age, family situation, and past experience. Higher risk tolerance generally pushes investors toward equity and mutual funds, while lower risk tolerance keeps them in deposits, gold, or fixed-income instruments. In this study, risk tolerance will be treated as a dimension of financial literacy because it reflects an investor's ability to handle uncertainty as part of informed decision-making.

Investment behavior

Investment behavior refers to the actual choices a person makes about allocating money across different financial assets, including the timing, amount, frequency, and

diversification of investments (Adil et al., 2022; Van Rooij et al., 2011). It will include decisions on whether to invest in stocks, mutual funds, fixed deposits, insurance, gold, real estate, or digital assets, as well as how often the portfolio will be reviewed and adjusted. In this study, investment behavior of youth in the Kathmandu Valley will be measured through self-reported actions related to investment selection, frequency of investing, portfolio diversification, information sources used, and the role of planning in their decisions.

6.2 Theoretical review

This subsection presents the major theoretical frameworks that will provide the intellectual foundation for the study. Each theory explains a different reason why financial literacy will logically influence investment behavior among youth.

Theory of planned behavior

The Theory of Planned Behavior (TPB), developed by Ajzen (1991), explains how attitude, subjective norms, and perceived behavioral control shape a person's intention to perform a specific behavior and the actual behavior that follows. Applied to investment decisions, TPB suggests that a young person's choice to invest in a particular product will be shaped by personal attitude toward investing, social influences such as family and peers, and the perceived ability to actually carry out the investment, such as access to a demat account or trading platform. Financial literacy strengthens each of these components: knowledge improves attitude, awareness expands social references, and skill increases perceived control. The TPB has been widely applied in financial behavior research and has shown consistent power in explaining saving, investing, and borrowing decisions (Mohta & Shunmugasundaram, 2024; Xiao, 2008). In this study, TPB will explain why higher financial literacy among Kathmandu Valley youth will be expected to translate into more informed and disciplined investment behavior.

Prospect theory

Prospect Theory, developed by Kahneman and Tversky (1979), describes how people actually make decisions under risk and uncertainty, departing from the assumption of fully rational behavior. The theory shows that people feel losses more strongly than equivalent gains (loss aversion), use reference points to evaluate outcomes, and often misjudge probabilities at the extremes. Investors guided by such biases tend to hold

losing assets too long, sell winning assets too early, and react sharply to short-term market movements. Adil et al. (2022) showed that higher financial literacy can reduce the harmful effects of such biases on investment decisions. In this study, Prospect Theory will support the inclusion of risk tolerance as a dimension of financial literacy and will explain why risk-related judgments will shape the investment behavior of youth in the Kathmandu Valley.

Human capital theory

Human Capital Theory, originally developed by Becker (1964) and applied to financial literacy by Lusardi and Mitchell (2014), treats financial knowledge as a form of investment in personal capital that yields long-term returns. The time and effort spent learning about financial concepts will produce benefits in the form of better saving, investing, and risk management decisions throughout life. The theory predicts that individuals with greater financial human capital will be more likely to participate in financial markets, build diversified portfolios, plan for retirement, and avoid costly mistakes (Lusardi & Mitchell, 2007). Empirical studies in both developed and emerging markets support this prediction (Agarwalla et al., 2015; Van Rooij et al., 2011). In this study, Human Capital Theory will provide a strong justification for measuring financial knowledge, attitude, behavior, and awareness as separate dimensions, each contributing to the investment behavior of Nepalese youth.

6.3 Empirical review of past studies

Van Rooij et al. (2011) carried out a study titled "Financial Literacy and Stock Market Participation," published in the *Journal of Financial Economics*. The main objective was to test how basic and advanced financial knowledge shape the decision to invest in stocks. The authors designed two special modules and added them to the De Nederlandsche Bank Household Survey, collecting responses from around 2,000 Dutch households. Probit regression and instrumental variable techniques were applied to handle possible endogeneity. The findings showed that most respondents understood simple ideas such as inflation and compound interest, but only a few grasped concepts like risk diversification and the difference between bonds and stocks. The authors concluded that low financial literacy strongly reduces the chance of stock market participation and called for stronger financial education to widen investor inclusion.

Lusardi and Mitchell (2014) prepared a wide review of financial literacy research in their paper "The Economic Importance of Financial Literacy: Theory and Evidence," published in the *Journal of Economic Literature*. The aim was to examine how financial literacy shapes economic choices such as saving, retirement planning, and investment. The authors drew on large-scale survey data from the United States and several other countries, using descriptive comparison and synthesis of empirical findings as their main method. The results showed that financial literacy levels remain low across nations, with women, young people, and the less educated showing the largest gaps. They concluded that financial knowledge works as a form of human capital and that improving it brings real gains in personal welfare and broader economic stability.

Agarwalla et al. (2015) studied the financial behavior of working young adults in their paper "Financial Literacy Among Working Young in Urban India," published in *World Development*. The objective was to measure financial knowledge, attitude, and behavior among employed youth in urban India and to test how socio-demographic factors shape these dimensions. Using a structured questionnaire based on the OECD framework, the researchers collected data from nearly 3,000 working young adults across major Indian cities. Multiple regression and ordered probit models were used to analyze the relationships. The findings revealed that Indian youth showed lower financial knowledge compared to global peers, although their financial behavior was relatively stronger. Education, income, and consultative decision-making within the family improved literacy levels. The authors concluded that focused financial education programs were needed for working youth, especially women and those living in joint families.

Mouna and Anis (2017) examined the connection between financial knowledge and investing in their paper "Financial Literacy in Tunisia: Its Determinants and Its Implications on Investment Behavior," published in *Research in International Business and Finance*. The aim was to identify the factors that influence financial literacy in an emerging market and to test how this knowledge shapes individual investment choices. The researchers used a structured questionnaire and gathered data from a sample of small investors active in the Tunisian stock market. Logistic regression and multivariate methods were applied for the analysis. The results showed that age, gender, education, and income were strong predictors of financial literacy, and that investors with higher literacy were more likely to diversify their portfolios and select better-informed

products. The authors concluded that improving financial knowledge in developing countries supports better personal wealth management and stronger participation in capital markets.

Adil et al. (2022) explored the link between financial literacy, behavioral biases, and investment choices in their paper "How Financial Literacy Moderate the Association Between Behaviour Biases and Investment Decision?" published in the Asian Journal of Accounting Research. The objectives were to test how overconfidence and herding bias affect investment decisions and whether financial literacy moderates these effects. The authors used a structured questionnaire and collected responses from 253 individual investors in India. Structural Equation Modeling (SEM) along with moderation analysis was applied for data interpretation. The results indicated that behavioral biases significantly affect investment decisions, but financial literacy weakens the harmful impact of these biases. The study concluded that raising financial literacy among individual investors supports more rational choices and reduces the role of emotional or impulsive behavior in financial markets.

Mohta and Shunmugasundaram (2024) studied the role of financial literacy in young investors' decisions in their paper "Moderating Role of Millennials' Financial Literacy on the Relationship Between Risk Tolerance and Risky Investment Behavior: Evidence from India," published in the International Journal of Social Economics. The aim was to test how risk tolerance affects the intention to take risky investments and whether financial literacy moderates this link among millennials. The researchers gathered survey data from 402 millennial investors in the Delhi-NCR region using a structured questionnaire. Partial Least Squares Structural Equation Modeling (PLS-SEM) was used for analysis. The findings showed that risk tolerance pushed millennials toward riskier investments, but higher financial literacy reduced this tendency. The authors concluded that financial literacy plays a protective role and helps young investors make calmer, more calculated choices in volatile markets.

Marjerison et al. (2025) compared investment patterns across generations in their study "Generational Investment Behavior: The Influence of Risk Tolerance and Technology Adoption in an Evolving Financial Landscape," published in SAGE Open. The objective was to examine how risk tolerance and digital technology adoption shape investment behavior across Gen Z, millennials, and Gen X investors. Using a quantitative survey design, the authors collected data from a wide sample of investors

and applied multiple regression along with moderation analysis. The findings indicated that Gen Z investors favored low-risk and liquid assets, while millennials were more open to digital trading platforms and moderate risk. Technology adoption strengthened the link between risk tolerance and actual investment activity, especially among younger respondents. The authors concluded that financial literacy and digital tools together influence how young investors build their portfolios.

6.4 Research gap

The empirical studies reviewed above will provide useful evidence on the link between financial literacy and investment behavior, but several important gaps will remain that this dissertation will be positioned to fill. Most of the cited studies were carried out in developed markets such as the Netherlands and the United States, or in large emerging economies such as India, Tunisia, and Indonesia (Adil et al., 2022; Mouna & Anis, 2017; Van Rooij et al., 2011). Nepal has its own social setting, family structure, education system, and capital market, so direct application of findings from these settings will not be fully appropriate. The few studies that will be found within Nepal have mostly focused on adult investors, general stock market participants, or rural households (Shrestha, 2020; Thapa & Nepal, 2015), leaving an important knowledge gap on the specific behavior of urban youth.

In addition, most prior studies have examined financial literacy through one or two broad dimensions, often combining knowledge, attitude, and behavior into a single construct (Lusardi & Mitchell, 2014; Mohta & Shunmugasundaram, 2024). Fewer studies have separated financial awareness and risk tolerance as distinct dimensions, even though these aspects will matter strongly for young investors who rely heavily on digital tools and online information (Marjerison et al., 2025). The combined examination of financial knowledge, financial attitude, financial behavior, financial awareness, and risk tolerance as five separate dimensions affecting investment behavior will remain rare in the South Asian context, and almost absent in Nepal.

This study will address these gaps by focusing specifically on youth in the Kathmandu Valley, using primary survey data collected through a structured questionnaire. By examining all five dimensions of financial literacy together and by testing both their individual and combined effects on investment behavior, the research will generate locally grounded evidence that bank managers, regulators, financial educators,

brokerage firms, and academic institutions will be able to use for designing focused interventions for young Nepalese investors.

7. Research methodology

This section will outline the systematic approach and procedures that will be used to conduct this research on financial literacy and investment behavior of youth in the Kathmandu Valley. It will cover the research design, population and sample, types and sources of data, data collection instrument, methods of data analysis, and the research framework along with definition of variables.

7.1 Research design

This study will adopt a descriptive and correlational research design to examine the relationship between the five dimensions of financial literacy and investment behavior of youth in the Kathmandu Valley (Creswell & Creswell, 2018; Sekaran & Bougie, 2016). The descriptive component will document the current level of financial literacy and investment behavior among the sample, while the correlational component will measure the statistical relationships between each dimension and investment behavior. This design will be appropriate because it will allow the researcher to study naturally occurring relationships between variables without manipulation, which will suit the real-world setting of the study. A correlational design will also enable the use of multiple regression analysis to determine the relative strength of each dimension's influence on investment behavior (Levin & Rubin, 1994).

3.2 Population, sample and sampling technique

The population for this study will consist of all young people aged 18 to 40 years residing in the Kathmandu Valley, including the districts of Kathmandu, Lalitpur, and Bhaktapur. This range will cover both Generation Z and millennial groups, which together form the largest share of new investors in Nepal's capital market (SEBON, 2023). Studying the entire population across all three districts will not be feasible within available time and resources, so a representative sample will be drawn through structured survey administration.

Since the precise number of young potential investors in the Kathmandu Valley will not be publicly available, the study will apply Cochran's (1977) formula for determining

sample size from an unknown population at a 95% confidence level with a 5% margin of error:

$$\begin{aligned}
 n &= Z^2 pq / e^2 \\
 &= (1.96)^2 (0.5) (0.5) / (0.05)^2 \\
 &= 384
 \end{aligned}$$

Where $Z = 1.96$, $p = 0.5$, $q = 0.5$, and $e = 0.05$. The study will therefore target a minimum of 384 respondents through convenience and purposive sampling. The respondents will be drawn from college students, young working professionals, fresh graduates, and young investors visiting brokerage offices, with care taken to include both genders and a balanced mix of education and occupation profiles. The Kathmandu Valley will be an appropriate sampling location because it will host the largest concentration of young investors, brokerage firms, banks, and digital trading users in Nepal.

Table 1

Profile of sample respondents

s.n.	Occupational category	No.of respondents	Percentage (%)
1	Students/part-time job	80	20.0
2	Government/private sector employee	120	30.0
3	Self-employed professional	100	25.0
4	Business owner/entrepreneur	70	17.5
5	Freelancer/independent contractor	30	7.5
Total		400	100.0

7.3 Nature and sources of data collection

This research will rely primarily on primary data collected directly from young respondents in the Kathmandu Valley. Primary data will be gathered through structured questionnaires administered both in person and through online forms, capturing the respondents' financial knowledge, attitude, behavior, awareness, risk tolerance, and investment behavior. Secondary data will play a supporting role and will be drawn from SEBON annual reports, Nepal Rastra Bank publications, NEPSE bulletins, OECD reports, peer-reviewed journal articles, and earlier dissertations on related topics. Secondary data will be used to provide context and to frame the primary findings rather than for direct quantitative analysis (Kothari, 2004; Sekaran & Bougie, 2016).

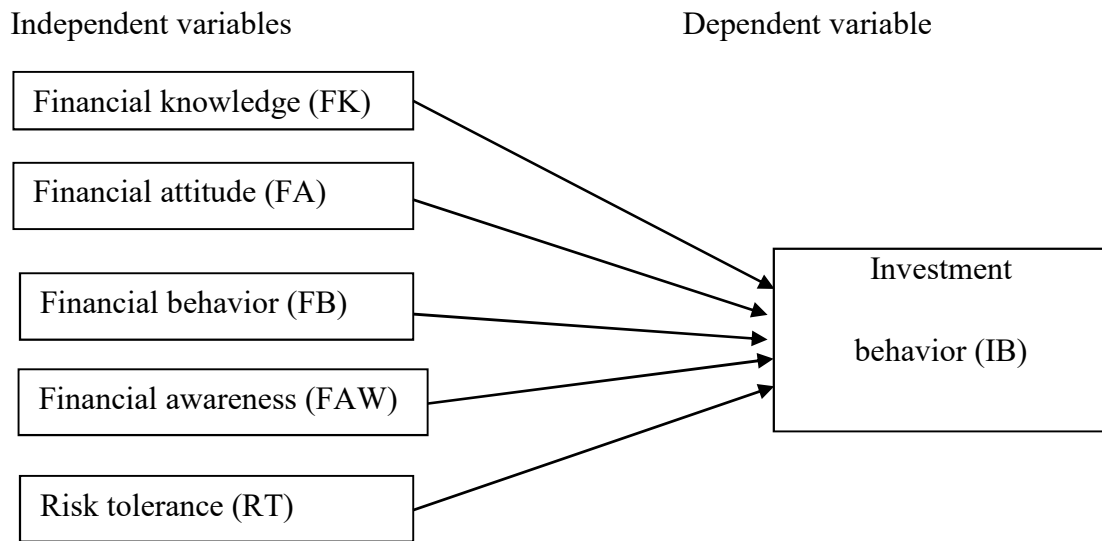
3.4 Instrument of Data Collection

The primary data collection instrument for this study will be a structured questionnaire. The questionnaire will be divided into four sections. Section A will collect demographic information such as age, gender, education, occupation, monthly income, and investment experience. Section B will capture opinions on the five dimensions of financial literacy through closed-ended items arranged on a five-point Likert scale ranging from 1 (Strongly Disagree) to 5 (Strongly Agree). Section C will measure investment behavior using the same Likert scale format. Section D will contain multiple-choice questions on investment preferences, sources of information, and challenges faced.

The questionnaire items will be adapted from validated instruments used in earlier studies, including those of Van Rooij et al. (2011), Agarwalla et al. (2015), Mouna and Anis (2017), Adil et al. (2022), and Mohta and Shunmugasundaram (2024), with modifications to fit the Nepalese youth context. The questionnaire will be pre-tested on a small group of 30 respondents before full-scale administration to confirm clarity, relevance, and item reliability (Sekaran & Bougie, 2016). Necessary adjustments will be made based on pilot feedback.

7.4 Research framework and definition of variables

This research framework will integrate five dimensions of financial literacy as independent variables that will be proposed to influence the investment behavior of youth in the Kathmandu Valley as the dependent variable. The framework will draw on the Theory of Planned Behavior (Ajzen, 1991), Prospect Theory (Kahneman & Tversky, 1979), and Human Capital Theory (Becker, 1964; Lusardi & Mitchell, 2014) to explain the logical basis for each proposed relationship.

Figure 1*Conceptual frameworks*

Source: Adapted from Van Rooij et al. (2011), Lusardi and Mitchell (2014), Agarwalla et al. (2015), Mouna and Anis (2017), Adil et al. (2022), Mohta and Shunmugasundaram (2024), and Marjerison et al. (2025).

Investment behavior of youth

Investment behavior, as the dependent variable, will refer to the actual decisions and choices that young people in the Kathmandu Valley will make regarding the allocation of money across different financial products. It will be measured through self-reported actions on investment selection, frequency of investing, portfolio diversification, sources of information used, and the role of planning in financial decisions (Adil et al., 2022; Van Rooij et al., 2011). Higher scores will indicate more informed, disciplined, and diversified investment behavior, while lower scores will suggest reactive or short-term-oriented behavior.

Financial knowledge

Financial knowledge will refer to a youth's understanding of basic financial concepts such as inflation, interest rate, time value of money, risk diversification, and the working of financial products (Lusardi & Mitchell, 2014; Van Rooij et al., 2011). It will be measured through self-reported responses on the understanding of these core concepts. Youth with stronger financial knowledge will be expected to show more informed investment behavior because they will be better able to evaluate products and judge market information.

Financial attitude

Financial attitude will refer to the mindset, preferences, and emotional orientation that a youth will hold toward money matters, including saving, spending, borrowing, and investing (Agarwalla et al., 2015; Atkinson & Messy, 2012). It will be measured through respondent perceptions of their preference for future planning, willingness to save, view on debt, and orientation toward long-term goals. A positive financial attitude will be expected to support more disciplined and goal-oriented investment behavior.

Financial behavior

Financial behavior will refer to the actual practices that a youth will follow in managing money, including budgeting, regular saving, tracking expenses, paying bills on time, and reviewing financial goals (Agarwalla et al., 2015; OECD/INFE, 2020). It will be measured through self-reported habits related to these practices. Youth who will demonstrate stronger financial behavior in daily money management will also be expected to demonstrate more responsible investment behavior.

Financial Awareness

Financial awareness will refer to a youth's familiarity with available financial products, market institutions, regulatory bodies, and digital platforms relevant to investment (Bhushan & Medury, 2013; Mouna & Anis, 2017). It will be measured through respondent perceptions of their knowledge about mutual funds, stocks, SIPs, online trading apps, demat accounts, and the role of SEBON and NEPSE. Greater financial awareness will be expected to support stronger investment behavior because it will expand the practical options available to young investors (Marjerison et al., 2025).

Risk tolerance

Risk tolerance will refer to the level of investment risk that a youth will be ready to accept in pursuit of returns (Grable & Lytton, 1999; Mohta & Shunmugasundaram, 2024). It will be measured through respondent perceptions of their willingness to invest in higher-risk products such as equity and mutual funds, ability to handle short-term market fluctuations, and acceptance of possible short-term losses for higher long-term gains. Higher risk tolerance will be expected to support broader and more diversified investment behavior when combined with adequate knowledge and awareness.

7.5 Methods of analysis

The data collected through the structured questionnaire will be coded, entered, and processed using the Statistical Package for Social Sciences (SPSS). Both descriptive and inferential statistical methods will be applied to examine patterns, distributions, and relationships in the data (Kothari, 2004; Levin & Rubin, 1994). Findings will be presented through frequency tables, descriptive statistics tables, correlation matrices, and regression output tables.

7.5.1 Descriptive statistics

Descriptive statistics will be used to summarize the characteristics of the data and to provide an overall picture of respondent demographics and the average level of each variable. Frequency distributions, percentages, arithmetic mean, standard deviation, minimum, and maximum values will be computed for all variables. The arithmetic mean will indicate the average level of agreement among respondents on each financial literacy item, helping identify which dimensions will be stronger and which will be weaker among Kathmandu Valley youth.

The arithmetic mean will be calculated as.

7.5.2 Inferential statistics

Inferential statistics allow researchers to make conclusions about populations based on sample data and test relationships between variables (Kumar, 2011). For this study, correlation analysis and multiple regression analysis will be the main inferential techniques used to examine relationships and test hypotheses.

Correlation analysis

Correlation analysis will measure the direction and strength of the linear association between each independent variable and investment behavior. Pearson's correlation coefficient (r) will be calculated for each pair of variables, producing values from -1 (perfect negative relationship) to $+1$ (perfect positive relationship), with zero indicating no linear association (Levin & Rubin, 1994).

Multiple regression analysis

Multiple regression analysis will be used to examine the combined and individual effects of the five independent variables on investment behavior. This method will allow the researcher to assess the relative contribution of each financial literacy

dimension while controlling for the influence of the other variables simultaneously (Hair et al., 2019; Levin & Rubin, 1994). The regression equation for this study will be:

$$IB = \beta_0 + \beta_1 FK + \beta_2 FA + \beta_3 FB + \beta_4 FAW + \beta_5 RT + \varepsilon$$

Where;

IB = Investment Behavior of Youth (dependent variable)

FK = Financial Knowledge

FA = Financial Attitude

FB = Financial Behavior

FAW = Financial Awareness

RT = Risk Tolerance

β_0 = Intercept constant

β_1 to β_5 = Regression coefficients of respective independent variables

ε = Error term

Hypothesis testing

All five hypotheses will be tested following the regression analysis. Hypothesis testing will be conducted at the 5% significance level ($p < 0.05$). This approach will allow the study to make clear, evidence-based conclusions about which dimensions of financial literacy will most meaningfully influence the investment behavior of youth in the Kathmandu Valley.

Reliability and validity test

Reliability of the measurement scale will be assessed using Cronbach's alpha for each set of Likert scale items measuring a single construct. A Cronbach's alpha value of 0.70 or above will be widely accepted as evidence of adequate internal consistency (Hair et al., 2019; Sekaran & Bougie, 2016). Content validity will be secured by adapting items from established literature and previously validated scales used in earlier empirical studies (Adil et al., 2022; Agarwalla et al., 2015; Van Rooij et al., 2011).

8. Chapter plan

This research will be organized into five systematic chapters, each building on the previous to develop a clear and well-grounded understanding of financial literacy and investment behavior of youth in the Kathmandu Valley.

Chapter One will establish the foundation of the study by presenting the background of financial literacy and investment behavior in Nepal, identifying the core problem faced by Nepalese youth, defining the research questions and objectives, stating the hypotheses, and establishing the academic and practical rationale.

Chapter Two will provide a wide review of existing literature covering conceptual definitions of key terms, the three theoretical frameworks informing the study (Theory of Planned Behavior, Prospect Theory, and Human Capital Theory), a systematic empirical review of seven prior studies published in international journals, and identification of the specific research gaps that the dissertation will address.

Chapter Three will describe the research methodology in full detail, including the descriptive and correlational research design, population and sampling approach based on Cochran's (1977) formula, the data collection instrument and its development, and the statistical analysis tools that will be used (descriptive statistics, Pearson's correlation, and multiple regression).

Chapter Four will present and interpret the primary data collected from youth respondents in the Kathmandu Valley, organized around the three specific research objectives. Descriptive statistics will characterize the sample and variable distributions, while correlation and regression analyses will examine the relationships between the five financial literacy dimensions and investment behavior. Findings will be discussed in relation to prior empirical evidence and the theoretical framework.

Chapter Five will summarize the key findings, draw conclusions about the relationship between financial literacy and investment behavior of youth in the Kathmandu Valley, and provide practical recommendations for young investors, financial educators, brokers, regulators such as SEBON and Nepal Rastra Bank, and academic institutions. Study limitations and directions for future research will also be addressed

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SURVEY QUESTIONNAIRE TO RESPONDANTS

ID NO.:

Good morning/afternoon. I am **Anju Adhikari**, student of MBS from Saraswati Multiple Campus, Thamel, Kathmandu. This questionnaire is designed to collect data for an MBS Dissertation research on "**Financial Literacy and Investment Behavior of Youth in Kathmandu Valley**" at Tribhuvan University. Your answers will be kept completely private and used only for my academic research. Please spend a few minutes to fill out this survey truthfully and completely.

SECTION A: DEMOGRAPHIC INFORMATION

1. Age:

☐ 18–23 years ☐ 24–29 years ☐ 30–35 years ☐ 36–40 years

2. Gender:

☐ Male ☐ Female ☐ Other

3. Education Level:

☐ SLC/SEE ☐ +2 / Diploma ☐ Bachelor's Degree

☐ Master's Degree ☐ Above Master's Degree

4. Current Occupation:

☐ Student ☐ Private Sector Employee ☐ Government Employee

☐ Self-employed / Business Owner ☐ Freelancer

☐ Unemployed / Job-seeker ☐ Other: _____

5. Monthly Income (NPR):

☐ No regular income ☐ Below 25,000 ☐ 25,000–50,000

☐ 50,001–75,000 ☐ 75,001–1,00,000 ☐ Above 1,00,000

6. Current Investment Status:

- ☐ Actively investing in one or more products
- ☐ Have invested in the past but not now
- ☐ Planning to start investing within 1 year
- ☐ Never invested and no immediate plan

7. Investment Experience:

- ☐ No experience ☐ Less than 1 year ☐ 1–3 years
- ☐ 4–6 years ☐ More than 6 years

SECTION B: OPINIONS ON FINANCIAL LITERACY AND INVESTMENT BEHAVIOR

Instructions: Please rate each statement with a tick (✓) using the following scale:

1 = Strongly Disagree 2 = Disagree 3 = Neutral

4 = Agree 5 = Strongly Agree

SN	Statements	1	2	3	4	5
A.	FINANCIAL KNOWLEDGE (FK)					
1.	I understand the concept of inflation and how it reduces the real value of money over time.					
2.	I understand how interest rates work for savings, loans, and investment products.					
3.	I understand the meaning of risk diversification and why spreading investments is important.					
4.	I understand the difference between simple interest and compound interest.					
5.	I am able to compare the returns of different financial products such as fixed deposits, mutual funds, and shares.					
6.	I understand the concept of time value of money in financial decisions.					
7.	I am aware of how taxes affect investment returns and personal income.					
B.	FINANCIAL ATTITUDE (FA)					

8.	I believe planning for the future is important even when I am young.					
9.	I prefer saving a part of my income regularly rather than spending it all.					
10.	I believe investing is a useful way to grow money over time.					
11.	I avoid taking unnecessary loans for things I cannot truly afford.					
12.	I am willing to delay short-term enjoyment to achieve long-term financial goals.					
13.	I set clear financial goals before making investment decisions.					
14.	I value advice from informed people over emotional or impulsive financial choices.					
C. FINANCIAL BEHAVIOR (FB)						
15.	I prepare a monthly budget and try to follow it consistently.					
16.	I keep track of my income and expenses on a regular basis.					
17.	I save a fixed portion of my income every month before spending on other things.					
18.	I pay my bills, fees, and credit card dues on time.					
19.	I review my investments at regular intervals to check their performance.					
20.	I avoid impulsive spending on items that are not part of my financial plan.					
21.	I maintain an emergency fund to handle unexpected expenses.					
D. FINANCIAL AWARENESS (FAW)						
22.	I am aware of the role of NEPSE in Nepal's capital market.					
23.	I know what a demat account is and how to open one in Nepal.					
24.	I am familiar with the major mutual fund schemes available in Nepal.					
25.	I am aware of online trading platforms and mobile apps for buying and selling shares.					
26.	I know the role of SEBON in regulating Nepal's capital market.					
27.	I am aware of systematic investment plans (SIPs) and how they work.					
28.	I know about insurance, retirement, and other long-term financial products available in Nepal.					
E. RISK TOLERANCE (RT)						
29.	I am willing to invest in products that carry some risk if the expected return is higher.					
30.	I am ready to accept short-term losses in expectation of long-term gains.					
31.	I prefer equity and mutual fund investments over keeping all my money in fixed deposits.					
32.	I can handle short-term fluctuations in the value of my investments without panic.					

33.	I am comfortable investing in new financial products that I have studied carefully.					
34.	I would rather grow my money through investing than only keep it in a savings account.					
35.	I accept that all investments carry some level of uncertainty and plan accordingly.					
F. INVESTMENT BEHAVIOR (IB)						
36.	I have started investing my money in one or more financial products.					
37.	I diversify my investments across different products rather than putting all money in one place.					
38.	I invest a fixed amount on a regular basis (monthly or quarterly).					
39.	I review and adjust my investment portfolio when needed.					
40.	I gather information about a product before deciding to invest in it.					
41.	My investment decisions are guided by clear financial goals rather than tips from friends or social media.					
42.	I plan to increase the size and range of my investments in the coming years.					

SECTION C: ADDITIONAL INFORMATION

43. What is your primary source of information for investment decisions?

- ☐ Family members or close relatives
 ☐ Friends and peer groups
☐ Social media and online influencers
 ☐ Financial websites, news, and reports
☐ Brokers and licensed financial advisors
 ☐ Books, training, and academic courses
☐ Other: _____

44. Which investment product do you prefer the most?

- ☐ Bank fixed deposit / savings account
 ☐ Shares listed on NEPSE
☐ Mutual funds
 ☐ Insurance and retirement products
☐ Real estate or land
 ☐ Gold or silver
☐ Digital assets (cryptocurrency, online platforms)
 ☐ Other: _____

45. What is the biggest challenge you face when investing?

- ☐ Lack of basic financial knowledge
 ☐ Limited income or savings to invest

- ☐ Fear of losing money in the market ☐ Confusion among too many product options
- ☐ Lack of trustworthy advice or information ☐ Time constraints for tracking the market
- ☐ Other: _____

46. How often do you review your investments?

- ☐ Weekly ☐ Monthly ☐ Quarterly ☐ Annually ☐ Rarely or never

47. What approximate share of your monthly income do you invest or save for investment?

- ☐ Less than 10% ☐ 10–20% ☐ 21–30% ☐ More than 30% ☐ I do not invest yet

Thank you for your valuable participation in this research study. Your responses will contribute significantly to academic understanding of financial literacy and investment behavior of youth in the Kathmandu Valley.